CHAPTER 1
HAND OUT QUESTIONS
SOLUTION

2. Residency

A. Canadian resident (Factual resident)
   - Traveling to the U.S. for business is not considered sojourning
   - He will be subject to Canadian taxation on his world-wide income

B. Non-resident
   - Does not live in Canada
   - Commuting across the border is not considered sojourning (Income Tax Folio – S5-F1-C1 – sojourners as deemed residents 1.33)
   - He will be subject to Canadian taxation on income earned in Canada (employment)

C. Part Year resident
   - The information suggests that Mr. Wills made a “clean-break” from Canada
   - He would be considered a resident of Canada before his departure on September 1 and a non-resident for the remainder of the year
   - He would be taxed on his world-wide income from January 1 to September 1 and be taxed only on income earned in Canada for the remainder of the year

D. Canadian resident
   - The information suggest that Mr. Goldseeker did not make a “clean-break” from Canada and as such would be considered to still be a Canadian resident under common law. He still has strong residential ties to Canada; his home, car, bank accounts, etc.
   - He would be taxed in Canada on his world-wide income for the entire year

E. Part Year resident
   - The information suggests the Mr. Judge made a “fresh start” in Canada
   - He would be considered a non-resident prior to October 1 and a Canadian resident from October 1 to December 31 of the current year
   - He would be taxed only on any income earned in Canada before October 1 and taxed in Canada on his world-wide income for the remainder of the year

F. Deemed Canadian resident
   – The information suggest that Mr. Matachuk “sojourned” in Canada for 183 days or more during the year and would be deemed to be a Canadian resident for tax purposes under ITA 250(1)
   - He would be taxed in Canada on his world-wide income for the entire year